

# INCOME TAX BILL, 2025

THE PROPOSED BILL RETAINS THE SAME NUMBER OF CHAPTERS BUT SIGNIFICANTLY EXPANDS ITS SCOPE WITH 536 CLAUSES AND INTRODUCES TWO MORE SCHEDULES

## Basis of Charge

Shifts to the concept of "Tax Year", aligns the Indian tax structure with international standards



## Incomes not included in total income

Clause 11 now prescribes a comprehensive list under Schedules II, III, IV, V, and VII. Each schedule enumerates the erstwhile sub-sections in tabular form by delineating the class of persons covered under each schedule



## Salary

Most of the deductions related to Income from Salary are now proposed to be consolidated in Clause 19, covering deductions like gratuity, leave encashment, etc



## Sale of depreciable business asset

The Bill addresses this ambiguity explicitly. Clause 33(10) clarifies that any loss arising from the sale of a depreciable asset will be treated as a business loss, while Clause 38 specifies that income from such transactions will be considered as Business Income

## Capital Gains Exemption on Investment in Bonds

Clause 85 of the Bill narrows this exemption to explicitly apply to "long-term capital gain", instead of "long-term capital asset". Consequently, short-term capital gains arising from the transfer of depreciable assets, even if held for more than 36 months, are no longer eligible for this exemption

## Written Down Value (WDV)

Clause 41 of the Bill simplifies WDV definitions and adopts a formula-based method. This reduces complexity and enhances the ease of understanding

## Directions of Dispute Resolution Panel (DRP)

Clause 275(6) mandates that DRP directions clearly state the points of determination, the decision on each point, and the reasons for such decisions



## Income Computation and Disclosure Standards

Integrates elements of ICDS directly into the statutory provisions, such as Clause 43 addressing foreign exchange fluctuations, Clause 57 specifying revenue recognition for construction and service contracts, and Clause 277 prescribing inventory valuation methods

## Tax Deducted at Source

Clause 393 consolidates all TDS-related provisions into a single table accompanied by explanatory notes

